Investment Committee Memo: Is Rheinmetall Priced for Perfection?

Investment Research Portfolio · Project 2 · Rheinmetall AG (RHM GY) · 7 October 2026 · price €926 (Xetra close)

Recommendation

Buy (long), 2% of NAV. No: at €926 Rheinmetall is not priced for perfection. It is priced for very little. With the brief's cost of capital (WACC 5.9%), the share price is justified by sales growth of only 4.0% a year from 2025 to 2035 at management's 20% margin. That means 2035 sales of €14.7bn, barely above the €13.7–14.2bn guided for 2026 alone. Alternatively, on management's sales path it implies a margin of 5.1%. On all three tests (budget share, backlog and margin) the implied assumptions sit below our base case, and even below our bear case, so the rule gives a Buy. The result depends heavily on the discount rate. Our base case only equals today's price at a 12.9% discount rate, and the bear case at 9.3%. The market is either demanding a very high return or doubting that the order book turns into durable earnings.

Thesis in three points

- **The price discounts almost no growth beyond 2026.** The shares have fallen from €1,797 (30 June 2025) to €990.50 (30 June 2026) and €926 today. At our 5.9% WACC the market value equals a business that grows sales 4.0% a year to 2035. Even at a 9% WACC the implied 2035 sales (€31.6bn) are below our bear case.
- **The orders already exist.** The Rheinmetall Backlog was €63.8bn at end-2025 and €80.5bn at 30 June 2026, eight times 2025 sales. Book-to-bill was 2.7x in 2025. The price implies cumulative 2026–2030 sales of €56bn, less than the backlog on hand at mid-2026.
- **Budgets give room even after a large share loss.** On the Hague path (3.5% of GDP core defence by 2035), European NATO members' equipment spending rises from €174bn (2025e) to €393bn (2035). The price implies Rheinmetall's European sales fall to 3.0% of that spending by 2035, from 4.6% today. Our base case needs 11.9%.

Continuing operations	2022	2023	2024	2025	H1 2026
Sales (€m)	6,410	7,176	7,715	9,935	5,227
Operating margin	12.0%	12.8%	18.0%	18.5%	15.0%
Rheinmetall Nomination (€m)	9,500	19,881	24,335	26,448	16,238
Rheinmetall Backlog (€m)	26,572	38,290	46,943	63,761	80,467
Operating FCF (€m)	-151	356	1,056	1,218	-1,616

Table 0. Key figures (annual report 2025, H1 2026 report). Guidance 2026: sales €13.7–14.2bn, margin ~19%; 2030 target: ~€50bn, margin >20%, cash conversion >50%.

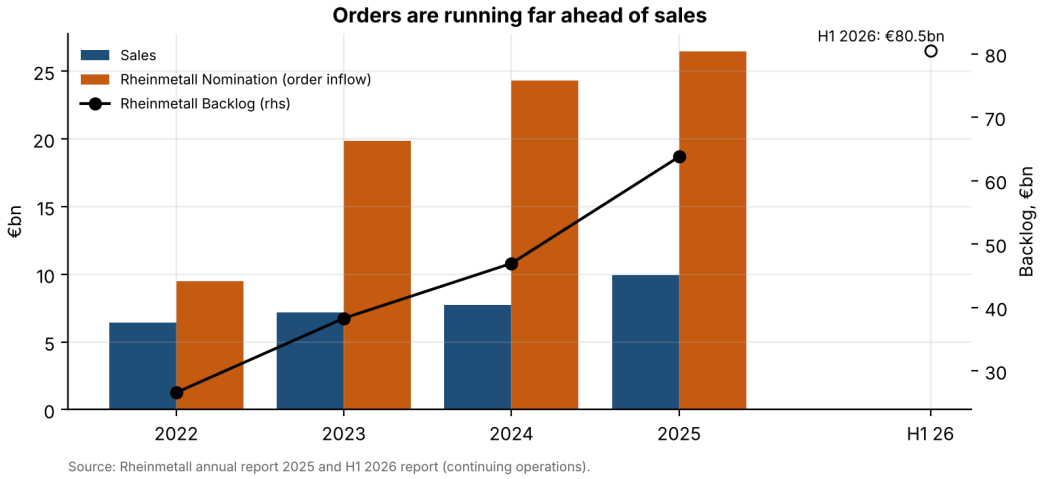


Figure 0. Sales, order inflow (Rheinmetall Nomination) and backlog.

What the price implies

Method. FCFF = operating result × (1 – 25.3% tax) – reinvestment. Reinvestment is Δsales / 5.68, a sales-to-capital ratio calibrated so that management's own plan delivers its 50% cash-conversion target. The 2025 base is €9,935m of continuing-operations sales at an 18.5% operating margin. The margin moves linearly to its 2030 level and stays there; terminal growth is 2.0%.

Cost of capital. CAPM cost of equity 6.07% = Bund 3.55% + Blume beta 0.60 × Damodaran ERP 4.20%. Cost of debt 4.19% is the yield on Rheinmetall's 3.375% May 2031 bond at 96.60 (Börse Frankfurt; Excel YIELD gives the same). Weights are 93% equity (€43.2bn) and 7% debt and pensions. WACC = **5.86%**. *Caveat:* the five-year raw beta against the STOXX Europe 600 is 0.40 with R^2 0.01 and standard error 0.53. Rheinmetall's returns have had almost nothing to do with the European market since 2021, so this beta is statistically meaningless and the WACC is a floor rather than an estimate. Table 2 shows how far the result depends on it.

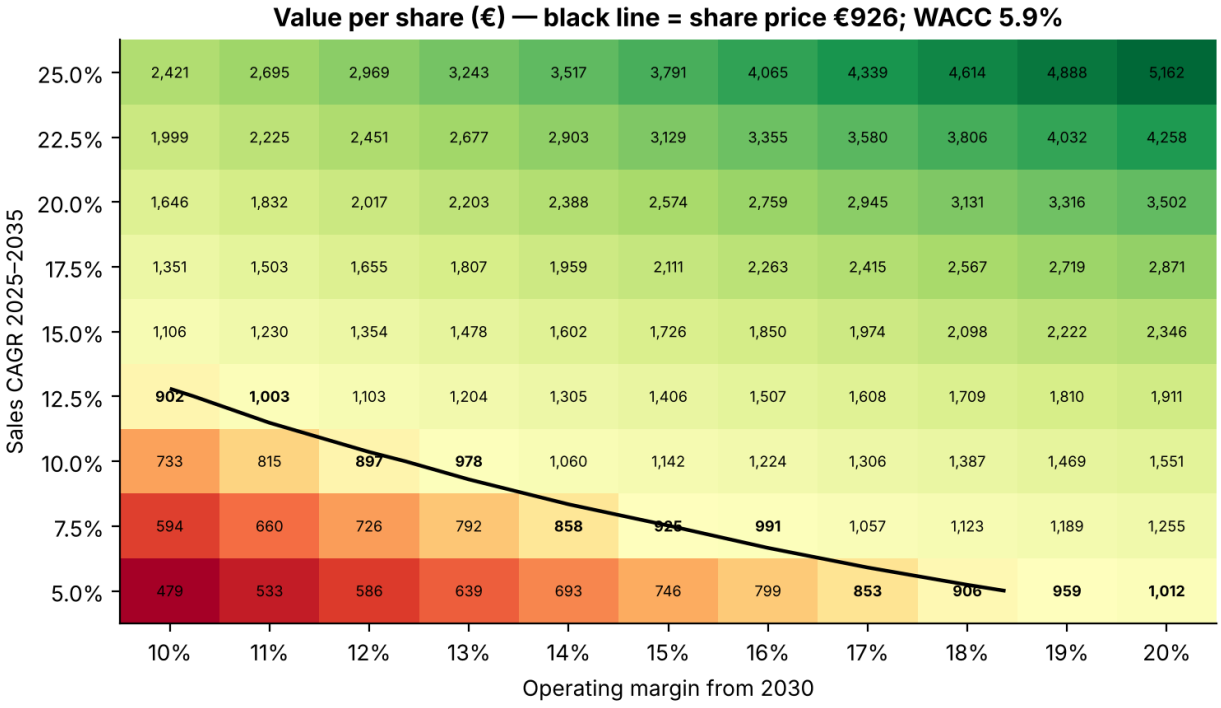


Figure 1. Value per share by 2025–2035 sales CAGR and margin; the black line is today's price. Bold cells are within 10% of the price.

Goal Seek results (workbook model/rheinmetall_reverse_dcf.xlsx). (a) At management's 20% margin, the price implies a **4.0%** sales CAGR for 2025–2035. (b) At management's sales path (2026 guidance midpoint €13.95bn, €50bn in 2030, then growing with European equipment budgets), it implies a steady-state operating margin of **5.1%**.

Test	Implied by price	Bear	Base	Bull	Reference
Budget: share of European NATO equipment spending, 2035	3.0%	8.9%	11.9%	14.9%	today 4.6%
Backlog: cumulative sales 2026–2030	€56bn	€106bn	€126bn	€146bn	backlog €80.5bn (Jun 2026)
Margin: operating margin from 2030	5.1%	15.0%	18.5%	21.0%	peers' best year 15.9%; best 5-yr avg 12.3%

*Table 1. The three tests. The rule: Sell if the implied assumptions exceed our bull case on two of three, Hold if they sit between base and bull, Buy if they are below base. All three are below base, so: **Buy**.*

WACC	Implied CAGR (20% margin)	Implied 2035 sales	Implied margin (mgmt sales)	Bear value	Base value	Bull value
5.9%	4.0%	€14.7bn	5.1%	€1,948	€3,220	€4,577
7.0%	7.3%	€20.2bn	6.6%	€1,451	€2,397	€3,405
8.0%	9.9%	€25.6bn	8.0%	€1,172	€1,937	€2,751
9.0%	12.3%	€31.6bn	9.4%	€976	€1,612	€2,288
10.0%	14.4%	€38.2bn	10.8%	€829	€1,370	€1,945
11.0%	16.5%	€45.6bn	12.4%	€717	€1,184	€1,680
12.0%	18.4%	€53.7bn	13.9%	€628	€1,037	€1,471

Table 2. Dependence on the discount rate (first row = model WACC). The price equals the bear case at 9.3%, the base case at 12.9% and the bull case at 16.2%.

Our view vs. the market

Our three cases start from the 2026 guidance midpoint (€13.95bn), reach a 2030 sales level, and then grow with European equipment budgets to 2035:

- **Bear**: €30bn sales in 2030 (40% below management's target), 15% margin, close to Kongsberg's best year (15.9%). Value €1,948.
- **Base**: €40bn in 2030, which is close to consensus for 2028 (€24.5bn on MarketScreener; our base has €23.6bn). The margin is held at the 2025 level of 18.5%. Value €3,220.
- **Bull**: management's plan, €50bn in 2030 at 21% (target: above 20%). Value €4,577.

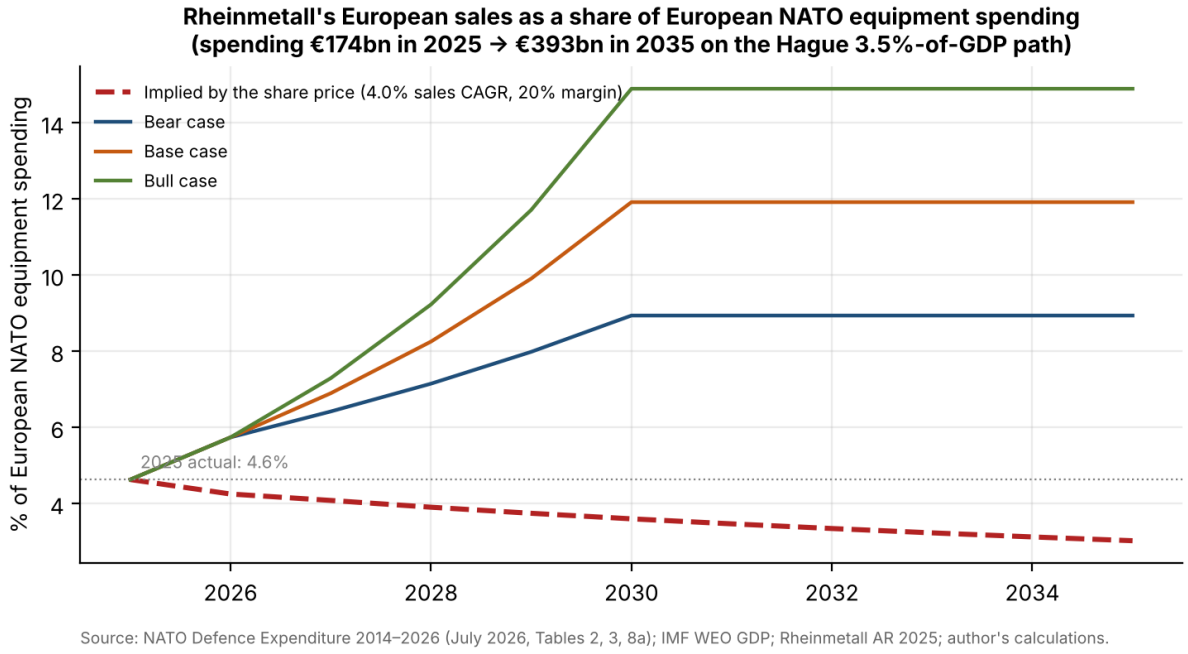


Figure 2. Budget test. Even the bull case needs about 15% of European equipment spending by 2030 (2025: 4.6%), a large but not impossible share for the continent's main land-systems and ammunition supplier. The price implies a falling share.

The market's scepticism is not irrational. Rheinmetall's operating margin is already above every peer's best year (Kongsberg 15.9%, Thales 12.4%, BAE 10.8%). Free cash flow was –€1.6bn in H1 2026 as working capital built up. The German Ministry of Defence also cancelled the F126 frigate programme in June 2026, in which Blohm + Voss was a subcontractor. But a share price that needs neither growth nor today's margin to be justified leaves a wide margin of safety.

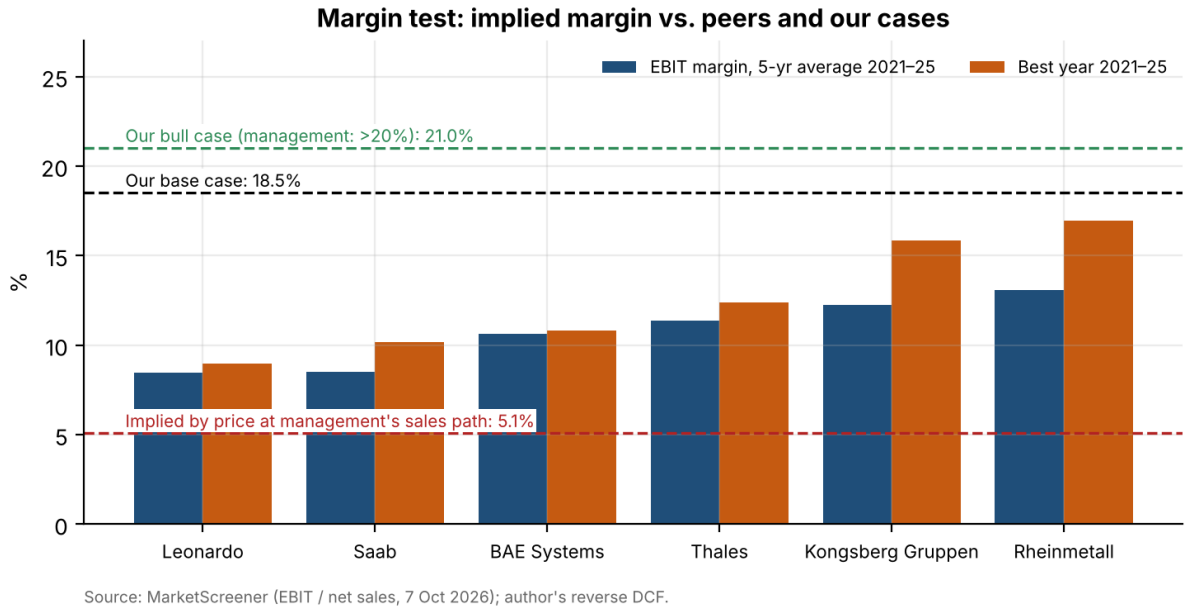


Figure 3. Margin test: EBIT margin of the five peers (MarketScreener) vs. the margin implied at management's sales path.

Catalysts

- **5 November 2026: Q3 statement.** Delivery of the €13.7–14.2bn 2026 guidance requires a strong H2 (H1: €5.2bn). Order intake is the key read-across to 2027.
- **Q4 2026: closing of the sale of the civilian business to AEQUITA** (signed June 2026). This simplifies the equity story and adds proceeds; our bridge only counts book value.

- **National budgets for 2027** and NATO's 2027 capability targets: confirmation that the 3.5% path is being funded.
- **Cash conversion:** a return to positive operating free cash flow would answer the main bear point (H1 2026 cash conversion was –205%).

Risks and what would prove us wrong (pre-mortem)

Three specific ways this long loses money:

- **Peace and budget fatigue.** A durable settlement in Ukraine could lead governments to stretch the 3.5% path, and national budget pressures could push back orders. Our bear case already assumes sales 40% below plan. A path that stays near 2% of GDP would put even that at risk.
- **Execution and cash.** Capacity ramp-ups (ammunition plants, the NVL shipyards) slip, and working capital keeps absorbing cash. The ROCE-based reinvestment assumption would then be too light. A sales-to-capital ratio half as high as calibrated would cut value materially.
- **Margin normalisation.** Governments push back on pricing as competition from new capacity (and from U.S. and Korean suppliers) increases. Margins fall towards the 10–12% that BAE and Thales have averaged. Our bear case assumes 15%.

What would make us change our minds: order intake below sales for two consecutive quarters (book-to-bill under 1), a cut to the 2026 guidance, or German budget plans that fall short of the 3.5% path.

Position sizing

- 2% of NAV at entry (around €926).
- Stop-loss at –25% from entry (about €695), the mirror of the brief's +25% stop for a short.
- Review at every quarterly report (next: 5 November 2026) against the three tests: the backlog conversion, the implied budget share and the margin.

Sources: Rheinmetall annual reports 2019–2025 and H1 2026 report; Capital Markets Day 2025 and September 2026 investor presentation (2030 targets); NATO, Defence Expenditure of NATO Countries (2014–2026), July 2026, read by OCR and checked against NATO's own totals; IMF World Economic Outlook GDP; Bundesbank; Damodaran; Börse Frankfurt; MarketScreener; yfinance. Model: model/rheinmetall_reverse_dcf.xlsx (checked against src/model.py by src/check_workbook.py). Written as a learning exercise; not investment advice.